Global Music

Global Music: The Industry's superfan transition is imminent. What will it mean for rightsholders?

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The most impactful announcement from Spotify's recent investor day presentation was a first-of-its-kind licensing agreement between a scaled DSP platform and a major label (Universal), creating a consent, credit & compensation-based framework for Premium users pay to create AI covers and remixes of participating catalog. We have long argued that AI is the bridge to sustainable superfan monetization for the labels rather than an existential threat, and this is the clearest proof yet. Through these negotiations, just a few years on from Suno & Udio's initial foray into AI music, we believe the category can evolve into a clearly defined growth engine for the labels at the scale of the world's largest music platform.

We expect Warner to sign its own AI cover and remixing deal imminently. The opportunity runs on two engines. The first is Spotify, where Warner already earns on the order of $1.2bn a year and a paid creation add-on layers cleanly on top. The second is the AI natives, where **Warner was first to a licensing pact with Suno** and has settled with Udio, taking a share of pools that are scaling quickly. Suno alone is running roughly ~$200-300M of annualized revenue and scaling rapidly. Together, **we see licensed AI building to a low-single-digit revenue tailwind into 2027.**

We do not assume UMG will retain "exclusivity" as consumers ignore (and don't care) about their preferred artists music companies affiliations. We leave unchanged our 5-year algo of 7% revs and 10% EPS growth: 1/ with Spotify generating 20% of revs (40% of Streaming subs. revs), **we estimate a 0.4% to 0.8% CAGR uplift,** potentially conservative if other DSP implement similar offers. This suggests a 10 to 20% share of **the pricing effect we were already modeling.** 2/ we expect pay-outs to be at least on par with current streaming levels, to secure "participation" from artists. This implies above average marginal profitability, but will apply to a low share of the mix.

For **Sony**, Spotify's Investor Day reinforces that licensed AI and superfan monetization are structurally positive, though more nuanced than for pure-play music peers. As one of the three global majors, Sony benefits directly from AI covers/remix licensing as additive revenue layered on top of streaming, with scarce catalog acting as the key input. However, the broader shift-toward platform-controlled discovery, AI-driven creation, and non-music revenue pools-implies Sony participates in a growing pie but potentially cedes incremental control and share of economics over time.

Hybe has already industrialized where Spotify is headed: monetizing superfandom, not just streams. Built on "love," its model captures value across the full idol lifecycle via Weverse - a closed ecosystem controlling both IP and fan access. The result is high-frequency monetization across content, merch, and interaction, with every touchpoint compounding ARPU. Spotify's K-pop push reflects this shift - not a genre bet, but a pivot toward engagement depth over scale. As AI scales personalization and interaction, the platform is effectively converging on the K-pop playbook - where superfans pay for access and proximity, and integrated platform and super IP owner like Hybe capture the incremental revenue.

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BERNSTEIN TICKER TABLE

			8 Jun 2026		TTM	Reported EPS				Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
SPOT (Spotify)	O	USD	503.13	625.00	(52.8)%	EUR	10.51	12.78	16.16	41.5	34.2	27.0
WMG (Warner Music)	O	USD	30.01	39.00	(9.6)%	USD	1.42	1.70	1.89	21.2	17.6	15.9
UMG.NA (Universal Music)	O	EUR	18.18	29.00	(46.0)%	EUR	1.03	1.09	1.17	17.7	16.7	15.5
SONY (Sony)	M	USD	22.15	22.00	(38.2)%	USD	1.08	1.25	1.30	20.6	17.7	17.0
6758.JP (Sony)	M	JPY	3,508.00	3,500.00	(45.8)%	JPY	171.30	198.75	207.66	20.5	17.7	16.9
352820.KS (Hybe)	O	KRW	196,100	400,000	(70.8)%	KRW	(5,713.11)	10,055	10,175	(34.3)	19.5	19.3
SPX			7,405.73									
EDME			1,542.17									
JPL			2,522.78									
ASIAX			1,907.25									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

WMG, UMG.NA, 352820.KS estimate is Adjusted EPS; WMG, UMG.NA, 352820.KS valuation is Adjusted P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Spotify: We rate SPOT Outperform.

Warner Music: We rate WMG Outperform.

Universal Music: We rate UMG Outperform.

Sony: We rate Sony **Market-Perform** with PT = **¥3,500.00**.

Hybe: We rate Hybe Outperform.

DETAILS

Superfan add-ons open a new royalty pool that sits on top of streaming

The most important idea from Investor Day for rightsholders is that Spotify is no longer trying to grow the music pool through price and subscriber count alone. Management framed willingness to pay as a power law, where a small head of highly engaged users will pay well above the standard subscription, and the company intends to capture that head through paid add-ons rather than a higher base price consistent with our thesis of the *Superfan*. The covers and remix agreement with UMG is the first label facing version of this, structured as a paid Premium add-on where both the recording owner and the songwriter share in what fans create. The key point for the industry is that this revenue is additive. It layers on top of streaming rather than redistributing the existing pool, and because the catalog itself is the input, it does not require Spotify to grow hours listened to grow the payout.

To size it, we anchored to the one add-on Spotify has actually disclosed. Audiobooks+ is tracking to roughly $100m of annualized revenue from more than one million payers, which implies about $8 per payer per month at an attach rate of around 0.3% of the subscriber base. That result came in under a year and across only 22 markets, so it sets a credible price band of $5 to $10 and shows that attach has years of runway left. We used that band to build a two-way sensitivity of incremental Spotify revenue across attach rate and add-on price (Exhibit 1), then passed it through to the rightsholders at a 50% to 70% royalty share to show what reaches the labels and publishers (Exhibit 2).

EXHIBIT 1: **A 5% attach and $8 per month, adds roughly $1.4bn of incremental Spotify revenue on the current subscriber base**

Incremental Spotify Add-on Revenue ($M/year): Current Base Sensitivity

		Incremental Add-on Pricing ($/month)				
		$3	**$5**	**$8**	**$10**	**$12**
Subs Attach rate (%)	**1%**	105	176	281	352	422
	2%	211	352	563	703	844
	5%	527	879	1,406	1,758	2,110
	10%	1,055	1,758	2,813	3,516	4,219
	15%	1,582	2,637	4,219	5,274	6,329
	20%	2,110	3,516	5,626	7,032	8,438

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 2: **With our premium subscribers estimated at 357 million, we see $1.7B of incremental revenue for spotify at 5% attach and $8 per month in 2030**

Incremental Spotify Add-on Revenue ($M/year): 2030E Sensitivity

		Incremental Add-on Pricing ($/month)				
		$3	**$5**	**$8**	**$10**	**$12**
Subs Attach rate (%)	**1%**	128	214	343	428	514
	2%	257	428	685	856	1,028
	5%	642	1,070	1,713	2,141	2,569
	10%	1,285	2,141	3,426	4,282	5,138
	15%	1,927	3,211	5,138	6,423	7,707
	20%	2,569	4,282	6,851	8,564	10,277

Source: Company reports, Bernstein analysis and estimates

The scale is meaningful. On the current base of roughly 293 million subscribers, a conservative 2% attach at $5 generates about $350m of incremental revenue for Spotify, of which roughly $210m would flow to rightsholders at a 60% share. That is a little under 2% on top of the $11bn the industry already collects from Spotify each year. A base case of 5% attach at $8 lifts that to about $1.4bn for Spotify and roughly $845m for rightsholders, or close to 8% of the current payout. The bull case of 10%

attach at $10 reaches about $3.5bn for Spotify and roughly $2.1bn for rightsholders, near 19% of the current pool (Exhibit 3).

EXHIBIT 3: **On the current base of roughly 293 million subscribers, a 5% attach at $8 lifts that to about $1.4bn for Spotify and roughly $845m for rightsholders, or close to 8% of the current payout**

	Conservative	Base	Bull
Scenario Inputs			
Attach rate (% of subs)	2%	5%	10%
Add-on price ($/month)	$5	$8	$10
Subscriber base (M)	293	293	293
Outputs			
Paying add-on users (M)	5.9	14.7	29.3
Incremental Spotify revenue ($M/yr)	$352	$1,406	$3,516
Incremental rightsholder revenue ($M/yr) @50%	$176	$703	$1,758
Incremental rightsholder revenue ($M/yr) @60%	**$211**	**$844**	**$2,110**
Incremental rightsholder revenue ($M/yr) @70%	$246	$984	$2,461
Uplift vs current $11B payout	**1.9%**	**7.7%**	**19.2%**
Implied blended ARPU uplift ($/sub/month)	$0.10	$0.40	$1.00

Source: Company reports, Bernstein analysis and estimates

Two structural features make this more attractive than the headline dollars suggest. First, the cover and remix product is composition heavy, so publishers and songwriters likely capture a larger share than they do on standard streams, where the master takes the majority. Second, add-on payers are the stickiest part of the base. They churn less and carry higher lifetime value, which means the incremental pool is more durable than an equivalent dollar of standard subscription revenue. The clear read is that the real opportunity is the stack rather than any one product. Covers and remixes, higher audiobook tiers, personal podcasts and fitness each carry their own attach curve, and a base case attach on several of them compounds quickly toward a double-digit lift on the industry payout.

The most strategically important shift from Investor Day is how **Spotify is repositioning from a distributor of catalog into the platform layer for the generative era.** It is buying general AI reasoning on the open market and spending its own resources building a proprietary large taste model trained on two decades of listening data. On top of that sit prompted playlists, AI generated personal podcasts, AI built ad creative, and the new Studio app for private, personal media. The read for rightsholders is not uniformly good or bad. The same set of moves strengthens some parts of the industry and pressures others, and investors should resist scoring it as a single arrow.

The cleanest way to frame where this is heading is to view it as the next step in a progression Spotify has already run twice (Exhibit 4). The company moved from an era of curation, where it won the shift off piracy and built the access model, to an era of recommendation, where algorithms and Discover Weekly drove a rising share of streams, to the current era of generation, where the user and the platform co-create. The pattern is consistent across all three. In every era Spotify handed the industry a new way to make money, first streaming royalties, then the marketplace, now licensed AI, and in every era it also took another step toward owning discovery and the user relationship. The labels' role has narrowed with each transition, from gatekeeper toward scarce licensed supplier.

EXHIBIT 4: **Across curation, recommendation, and generation, Spotify has handed the industry a fresh monetization layer at each step while steadily accreting control of discovery and the user relationship**

Era	What Spotify built	New monetization layer for the industry	Where discovery and control sat	Read for rightsholders
Curation (access)	Legal access to the full catalog, playlists, the **move off ownership and piracy**	**Recorded streaming royalties** begin at scale	Shared: editorial and user playlists give the platform a lever	**Labels win the shift off piracy,** but hand the platform a foothold in discovery
Recommendation (algorithmic)	Discover Weekly, Release Radar, machine-learning personalization	Marketplace and Discovery Mode, placement **in exchange for rate concessions**	Tilts to the platform: **algorithms drive a rising share of streams**	Streams grow, but **the platform sets discovery** and charges the supplier for reach
Generation (AI)	Large taste model, prompted playlists, **personal and AI-generated media**, Studio	**Licensed AI covers** and remixes, superfan add-ons	**Tilts further to platform and user,** who now co-create	Catalog becomes the scarce licensed input; new revenue arrives, but discovery and A&R power drift from the labels

Source: Bernstein analysis

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Within the current era the two forces pull in opposite directions. On the constructive side, Spotify is building the licensed and responsible version of AI music rather than letting the unlicensed version define the market. The UMG covers and remix agreement is the template, grounded in consent, credit, and compensation, and it follows the broader artist-first AI framework Spotify struck in October 2025[1] with all three majors plus Merlin and Believe. This reinforces the scarcity value of established catalog, because as generative content floods the zone, verified, licensed, human origin recordings become more valuable, and management made the point plainly that existing IP tends to be the most valuable. The pressure runs the other way and is slower to surface. A growing share of subscriber time is moving toward content that pays the labels nothing, from personal podcasts to functional audio, which dilutes the royalty density of every hour on the platform. Net-new AI music, already being uploaded at pace, competes for streams inside a pro-rata pool, so the established catalog's share erodes over time, albeit at a very slow pace. And if Spotify owns the taste graph and the generation layer, discovery and A&R power drift further from the labels, which is the disintermediation concern the generative era accelerates.

The catalog-heavy majors, Universal, Warner, and Sony, are net winners, since their IP is both the scarce input the models need and the asset being monetized through licensed AI, and the dilution risk is real but gradual. Publishers and songwriters are a quieter winner, because the cover and remix economics are composition led and the framework compensates writers in a way earlier AI tooling did not. The relative losers are the thin-catalog distributors and the AI-native uploaders, who supply the very content that dilutes the pool yet lack the catalog and the licensing leverage to capture the upside (Exhibit 5).

EXHIBIT 5: **Owners of scarce, licensed catalog gain both the input and the monetization, while publishers and songwriters gain a seat through composition-led covers and remixes**

Constituency	Licensed AI upside	Pool & engagement dilution	Discovery / A&R control	Net read
Catalog-heavy majors (UMG, WMG, Sony)	**Positive: catalog is the licensed input and the monetized asset**	Negative but gradual: pool spread across more content	Mixed: ceding some discovery power to the platform	**Net winner**
Publishers & songwriters (incl. UMPG)	Positive: covers/remixes are composition-led, writers compensated	Low direct exposure	Neutral	Net positive
Indies / distribution-only / AI-native uploaders	**Limited: lack catalog and licensing leverage**	Negative: supply the diluting content	**Negative: most exposed to platform control**	Relative loser

Source: Bernstein analysis

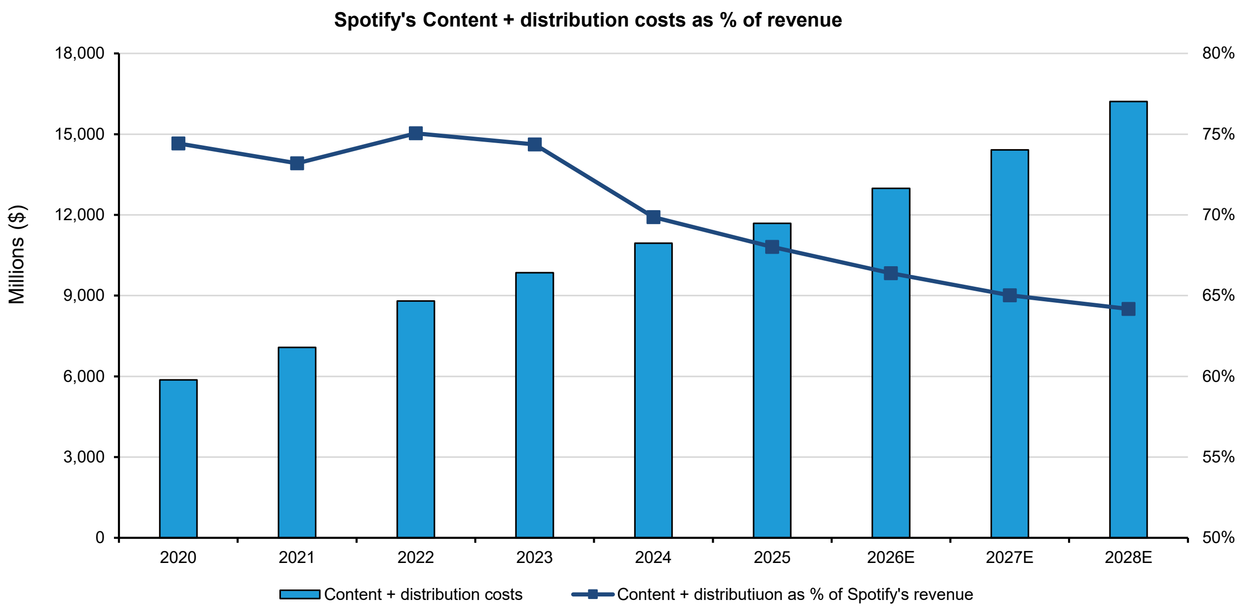
[1] https://newsroom.spotify.com/2025-10-16/artist-first-ai-music-spotify-collaboration/

Spotify keeps growing the payout while quietly taking a larger share of the economics

Spotify told investors that it paid more than $11bn to music in 2025, up around 10% on the prior year, with all time payouts now past $70bn, and that number is real. The point for rights holders is what sits underneath it. The way Spotify plans to expand margin means the share of its economics that flows to music is set to fall even as the dollar figure keeps climbing. The company is capturing more of the value chain, and the headline payout growth partly masks that shift.

The simplest way to see it is to follow the revenue dollar (Exhibit 6). Gross margin has moved from 25% in 2022 to 32% in 2025, with a target of 35% to 40% by 2030. That is the same statement, viewed from the other side, as content and distribution costs falling from 75 cents of every revenue dollar in 2022 to 68 cents in 2025 and to roughly 64 cents by our estimates. Royalties are the largest piece of that cost, so the industry is funding a shrinking slice of each dollar Spotify collects. At the high end of the margin target the content share drops to 60 cents, and at the low end it holds near 65 cents. A large part of the mechanism is the marketplace, where Spotify's gross profit grew about four times in four years, close to a 41% annual rate and far ahead of revenue. That growth is effectively supplier funded, paid for through the discounted royalty rates artists and labels accept in exchange for promotion.

EXHIBIT 6: **As Spotify's gross margin climbs toward the 35% to 40% target, the content and distribution share of every revenue dollar falls from 75 cents in 2022 to about 64 cents by 2030, with the marketplace, up roughly fourfold in four years, doing much of the work**



Source: Company reports, Bernstein analysis and estimates

The divergence shows up most clearly when payout dollars are set against Spotify's revenue. On the base case, with revenue growing in the mid-teens as guided and payouts carried forward at the 2025 pace of around 10%, music payouts rise from $11bn to roughly $17.7bn over the plan, an increase of about 60%. Over the same period, because revenue grows faster, music's share of Spotify's total revenue compresses from about 59% to about 48%, a decline of roughly 12 points. Across the realistic range, wherever revenue outgrows payouts, and management's own guidance points there, the share compresses (Exhibit 7).

Three forces drive the gap, and none of them require a headline rate cut. Non-music verticals, audiobooks and podcasting, now make up roughly two thirds of gross profit and carry margins above the music business while paying the labels nothing. The marketplace continues to convert Spotify's control of discovery into margin at the rightsholders' expense. And bundling and add-on layering mean the recorded music pool grows more slowly than total revenue. It is worth being precise that Exhibit 7 measures music's share of Spotify's total revenue, a proxy for the industry's share of the economics rather than a contractual royalty rate, so the decline reflects mix and marketplace dynamics rather than a cut to per stream terms. The read for rightsholders is steady rather than alarming. Absolute dollars keep rising, but Spotify's economics are designed to improve faster than the rate it pays out, and that asymmetry is the heart of the tension heading into the next renewal cycle. The offset, as covered in the first theme, is for the majors to lean on superfan add-ons and licensed AI to grow their share of a larger pie,.

EXHIBIT 7: **Music payouts grow about 60% over the plan to near $17.7bn, yet music's share of Spotify revenue compresses by roughly 12 points to about 48%**

Music Payout as % of total Spotify's revenue: 2030E Sensitivity

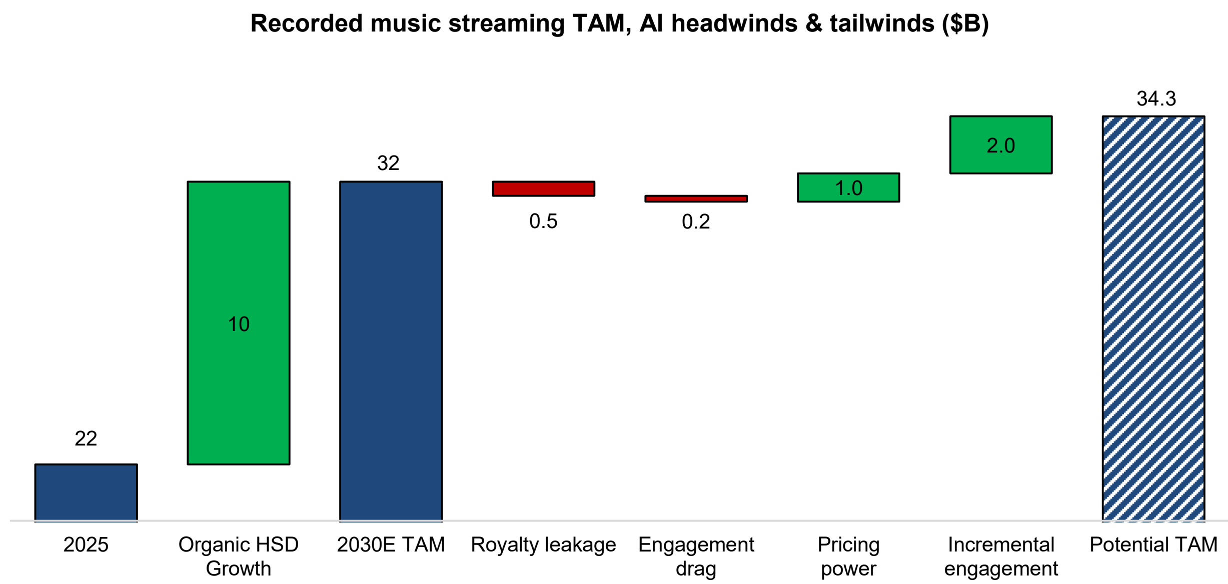
		Payout CAGR (%)				
		6%	**8%**	**10%**	**12%**	**14%**
Revenue CAGR (%)	**10%**	49.2%	54.1%	59.3%	64.9%	70.9%
	12%	45.0%	49.4%	54.2%	59.3%	64.7%
	15%	39.4%	43.3%	47.5%	51.9%	56.7%
	18%	34.7%	38.1%	41.7%	45.7%	49.9%
	20%	31.9%	35.0%	38.4%	42.0%	45.9%

Source: Bernstein analysis and estimates

FROM DISRUPTION FEARS TO MARKET EXPANSION

If AI does not replace artists, the core question is how it drives monetization in streaming. We see the most likely path as tiered pricing and premium offerings, with platforms such as Spotify using AI-driven personalization, discovery, and interactivity to justify higher-priced tiers, while labels such as Warner build licensed AI ecosystems (e.g., with Stability AI and Suno) that turn AI into a new revenue layer on top of existing IP rather than a competitive threat. The remaining economic question is whether this added pricing power and engagement can more than offset any leakage.

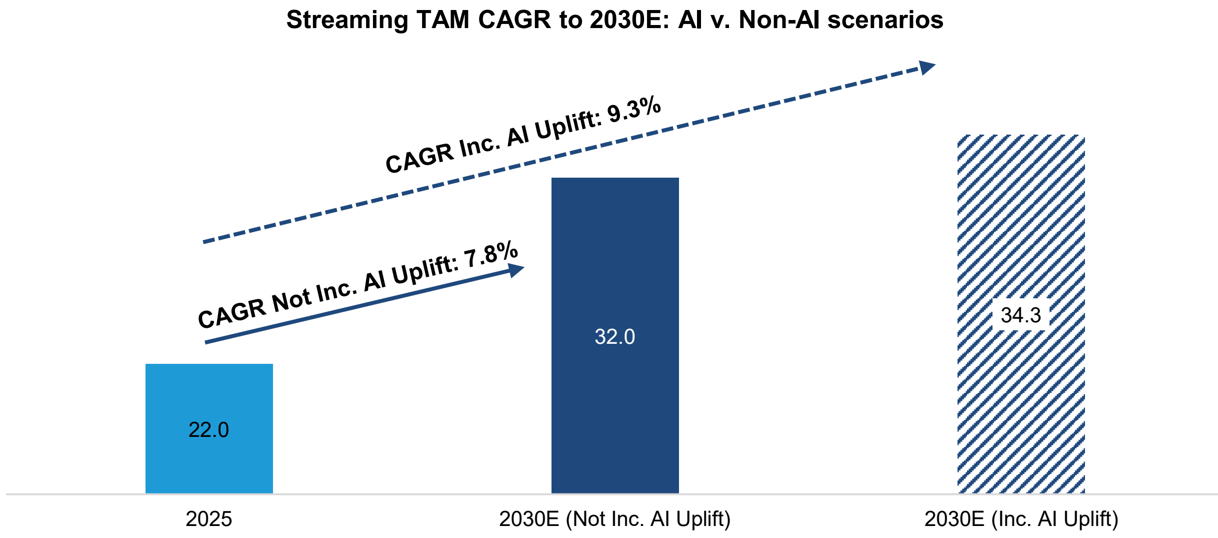
EXHIBIT 8: **We see AI-driven pricing power and incremental engagement more than offsetting royalty leakage and engagement drag, adding ~$2.3Bn to 2030E streaming TAM**



Source: IFPI, RIAA, Bernstein analysis and estimates

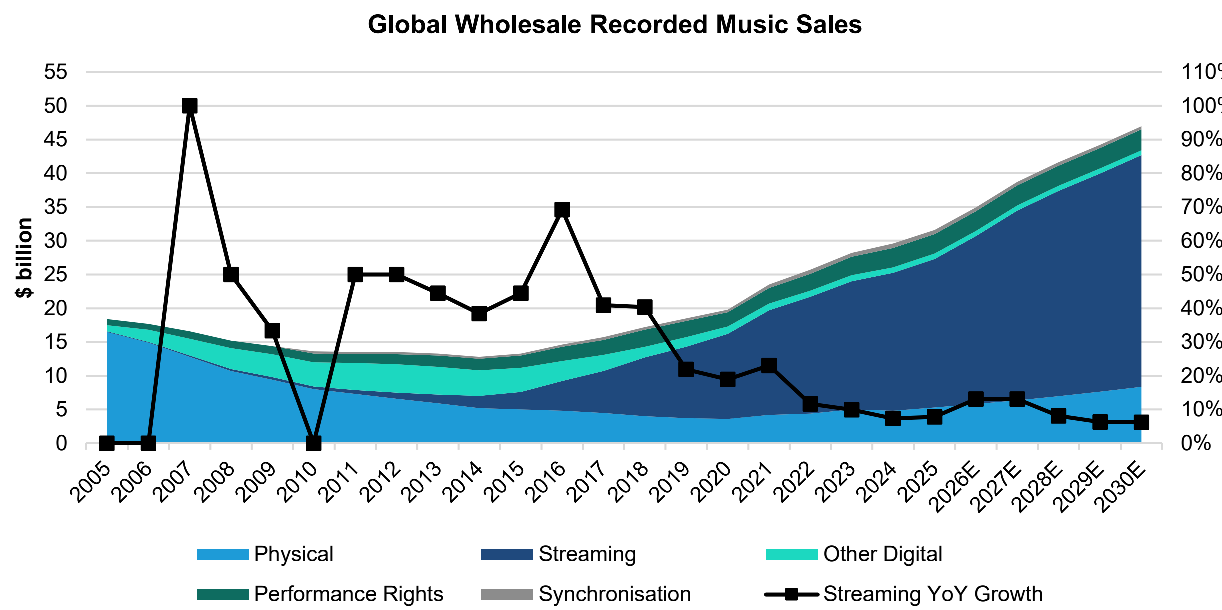
Importantly, the music industry has historically demonstrated resilience to technological disruption, with new distribution formats and technological innovations ultimately expanding the market rather than displacing it.

EXHIBIT 9: **AI-driven upside: Streaming TAM CAGR expands to 9.3% through 2030E**



Source: IFPI Global Music Report 2025, Bernstein analysis and estimates

EXHIBIT 10: **The music industry has delivered a decade of growth, highlighting the resilience of the streaming ecosystem; industry expansion suggests new technologies such as AI are more likely to grow, rather than displace the music market**

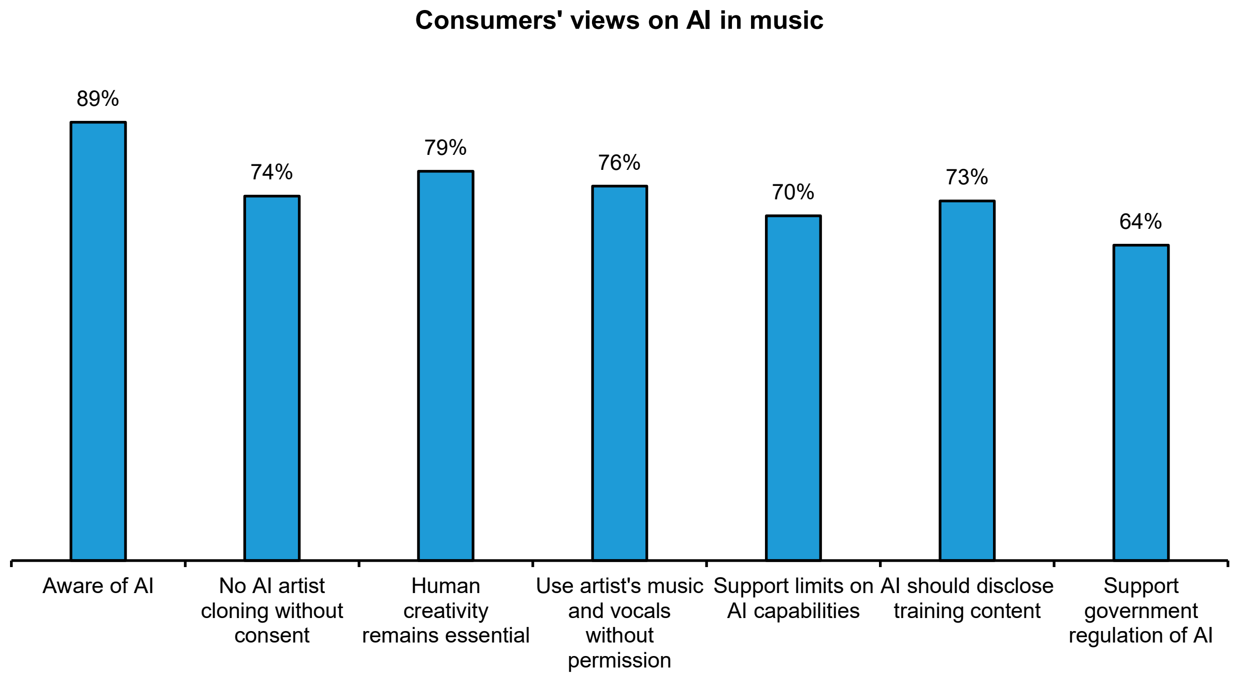


Source: IFPI Global Music Report 2025, Bernstein analysis and estimates

Consumer attitudes indicate AI is unlikely to replace human creativity in music (Exhibit 11). Most listeners still value human artists and support guardrails around generative AI, and much AI music appears geared toward personal or experimental use rather than commercial release. Tools such as Suno and Udio lower barriers for hobbyists by letting users create songs from text prompts, which looks more additive than disruptive to the commercial ecosystem.

Users of these tools often behave like "superfans," treating AI music generation as participatory culture rather than professional output. In this way, AI functions more as a creative sandbox or remix tool than a rival to professional artists. Even when AI tracks reach streaming services, their impact is small; e.g., Deezer has reported AI music at only a tiny share of total streams, suggesting expanded creation does not yet translate into meaningful competition with mainstream artists.

EXHIBIT 11: **Consumer sentiment on AI in music points to strong support for artist protections and regulatory guardrails, reinforcing the view that AI is more likely to complement than replace the core music market**



Source: IFPI Engaging with Music, Bernstein analysis

Warner Music Group

We see Warner Spotify's Investor Day (and the wider run of AI announcements around it) as a net positive. We expect a Warner version of the covers and remix deal Universal unveiled to follow before long. The debate earlier this year was framed around dilution, the worry that generative AI floods the majors' catalogs and erodes the pool. For Warner specifically, the licensed path that has since emerged does the opposite: it adds revenue on top of the royalty pool rather than carving into it. Universal's deal is the template, these arrangements rarely stay confined to a single label, and Warner has both the incentive and, under Robert Kyncl, the disposition to move quickly, so in our view a Warner deal is a question of when rather than whether.

- The first engine is Spotify itself, where Warner already earns the most. On a platform that pays Warner on the order of $1.2bn a year, **a paid add-on that lets fans create covers and remixes on top of the catalog is incrementa**l by construction. For a publishing arm the market tends to treat as the smaller sibling, that is a better read than the headline gives it.
- The second engine is Warner's own deals with the AI-native platforms, where it has moved ahead of its peers. **It was first to a major licensed-AI pact with Suno,** billed as first-of-its-kind, and has settled with and is building alongside Udio. These are standalone, fast-scaling subscription pools, with Suno running from roughly $200m of annualized revenue at its November raise to about $300m within a quarter, and **Warner takes a share of that growth as it compounds.**
- **Warner's AI income is its cut of new money,** the Spotify add-on and the Suno and Udio subscriptions. That is the clean contrast with unlicensed AI, which crowds the pro-rata pool and which the platforms are now filtering out as fraudulent. Warner's settlements effectively move content out of the dilutive bucket and into the accretive one.
- The same structure travels well beyond Spotify. The paid streaming services all need comparable creation and add-on features to stay competitive, so the licensed pools multiply across platforms rather than stopping at one, and the two engines reinforce each other. AI-driven listening and creation compound fastest where Spotify's reach meets Warner's catalog and its deals, which is why we would not view this as a one-platform story. Put together, **we size the combined effect as a low-single-digit revenue tailwind into next year**.

UMG

The landmark licensing agreement announced at the Investor day will allow fans to use Spotify new tool to create covers and remixes from UMG participating artists' and songwriters' catalogs. This will create an additional source of income for artists and songwriters, unsurprisingly qualified as "artist-centric", with "consent, credit, and compensation built in from the start". We note:

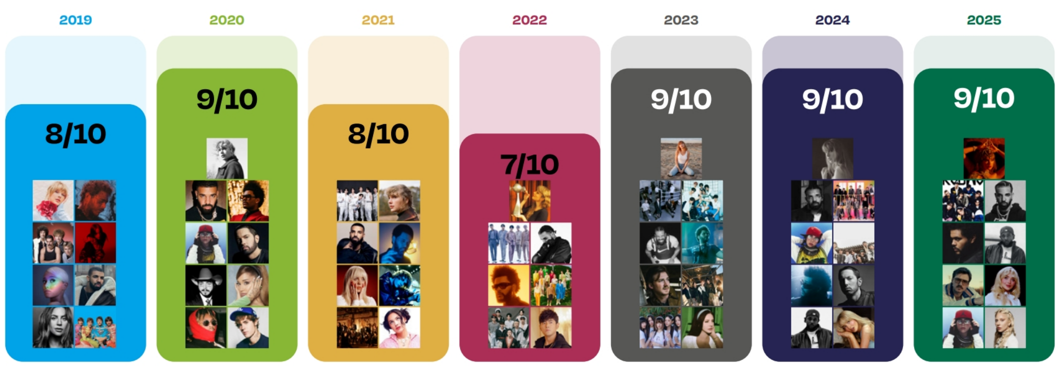
- While UMG was the first supplier to strike an agreement with Spotify, **we do not assume UMG will retain "exclusivity".** Consumers ignore (and don't care) about their preferred artists music companies affiliations as a fundamental attraction of DSP is their ability to offer universal reach across genres and artists (this ensures that DSP "need" access to the whole music content pool). We therefore expect similar agreements to be replicated with other music content suppliers.

- No detail was provided on the sharing with artists, but **we assume economics to be at least on par with current streaming pay-outs, to secure "participation" from artists** (see below). This suggests above average marginal profitability, as is the case for existing "regular" streaming revenues.

- The mention of "participating" artists suggests **the possibility for some artists to "opt out" from the Spotify agreement. We assume essentially all artists will agree to participate in the project provided artist friendly pay-outs are at a minimum on par with those seen on "regular" streaming.** There might be isolated exceptions as already seen in the past with stars leaving then returning to Spotify (T. Swift, Neil Young) and more recently some indies bands protesting Daniel Ek investments in AI /defense. At this stage the highest visibility hold out is US country music mega star Garth Brooks (access on Amazon Music, and Apple Music for a narrow selection). Following press reports of a potential G. Brooks catalog in a $1-2bn range, it remains to be seen whether this non presence on Spotify would be maintained by potential new owners (we guess not if that is secured in a transaction).

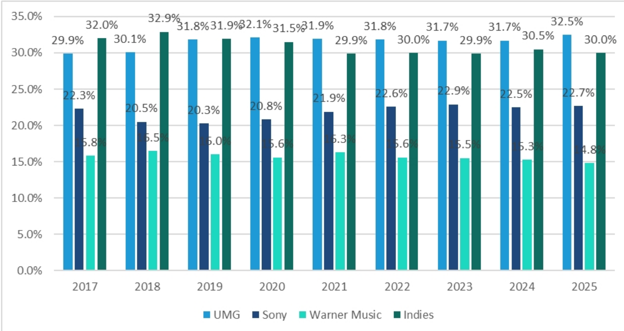
- It is unclear at this stage whether fans usage will mirror current Spotify consumptions patterns. For perspective, patterns on Tiktok show a more concentrated usage (there are no reliable data on TikTok statistics, but a two-year study published in the "Information, Communication & Society" journal found that the daily top 100 positions had been taken by 321 different songs on TikTok, vs 1700 on Spotify). **UMG over indexing to mega stars, which has also helped the company in Physical, could be a positive, though that needs to be confirmed by actual usage**. At the same time, and as mentioned in the first section of this report, the cover and remix product is **composition heavy**, so publishers and songwriters likely capture a larger share than they do on standard streams, where the master takes the majority. For UMG, which has a stronger market share in Recorded Music than in Publishing this could be directionally slightly dilutive, and offset its over indexing to the very top tier of global artists.

EXHIBIT 12: **Top Ten* Global artists - UMG is over indexed to global megastars. It remains to be seen whether these artists will also over index on covers and remixes**



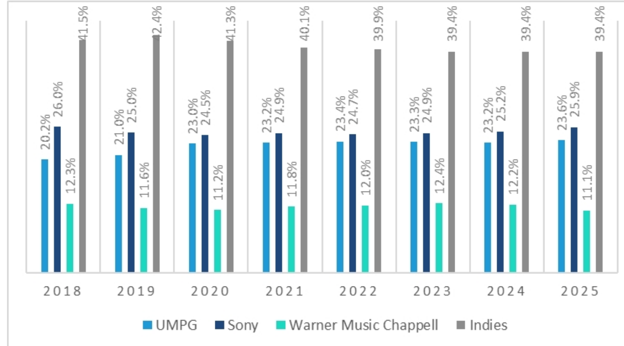
Source: *IFPI global charts 2019-25, UMG 2025 report

EXHIBIT 13: **Recorded Music global market shares**



Source: Music & Copyright

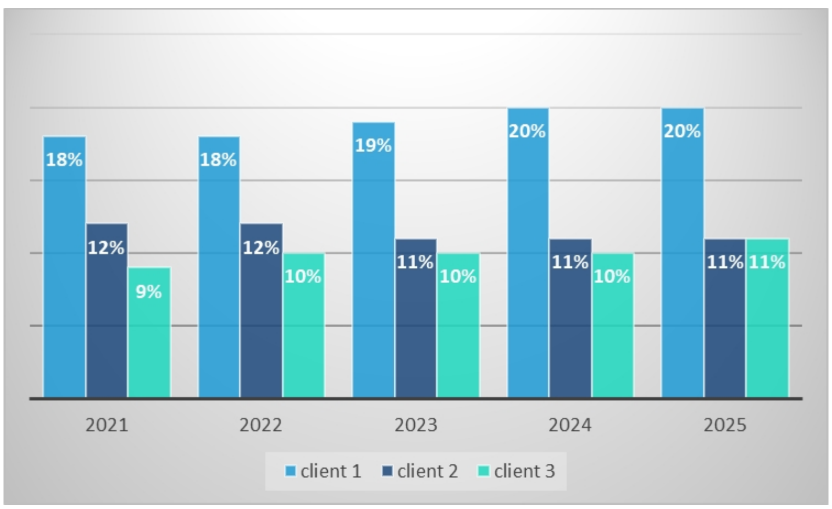
EXHIBIT 14: **Music Publishing global market shares**



Source: Music & Copyright

- UMG does not disclose its share of revenues coming from Spotify, but its mix implies **its unnamed #1 client accounting for 20% of total is Spotify.** This amounted to €2.5bn in 2025, and applies to Streaming (subscriptions and to a much lesser extent advertising) and Publishing (Digital). **Based on our external assumptions and UMG market shares in Recorded music and Publishing (33% and 24% respectively) we estimate that Spotify generated near 40% of UMG Streaming subscription revs, slightly below 20% of UMG Streaming ad revs, and a mid to high 20s share of UMG Publishing revs.**

EXHIBIT 15: **UMG #1 client is not disclosed but has to be Spotify implying €2.5bn revs in 2025 - #2 and #3 certainly YouTube and Apple Music**



Source: company, Bernstein analysis and estimates

- We leave unchanged our 5-year growth algo as:
  - UMG management was already including an unspecified Super fan contribution within the improved monetization pegged during its September 2024 CMD at 4 to 5% pa. As mentioned in previous reports, we had assumed this Super fan contribution had been sized conservatively given the practical hurdles we saw to the comprehensive features initially mentioned by the company (better audio quality, content exclusivity, merchandising access). **Our 5-year growth algo assumes Streaming (Recorded + Publishing) contributing two thirds of topline growth.** The balanced volume / price mix consistently reiterated by management **would therefore imply pricing accounting for one third of total growth**. The exhibit below illustrates the uplift to UMG revenues based on the Conservative, Base and Bull scenarios described in a prior section, and the contribution of Spotify to UMG total revenues growth based on the current mix on a two to four-year time span. T**his suggests in a Base scenario a 0.4% to 0.8% CAGR contribution. This suggests a 10 to 20% share of the Streaming subs pricing effect we currently model, which we believe is realistic, and potentially conservative if other DSP also implement offers similar to that of Spotify.**

- We assume a minimum 40% drop through rate to Adjusted EBITDA, **higher than the group average due to a digital format.** Given this will apply to a modest share of the mix, we leave unchanged the more conservative 25% assumption used in our EPS growth model.

EXHIBIT 16: **Spotify add on impact on UMG**

	Conservative	Base	Bull
Attach rate (% subs)	2.0%	5.0%	10.0%
add on price ($/mo)	$5	8.0%	10.0%
Uplift vs current pay out	1.9%	7.7%	19.2%
Spotify share revs UMG	20%	20%	20%
Uplift revs UMG	0.4%	1.5%	3.8%
CAGR 2 year	0.19%	0.77%	1.90%
CAGR 3 year	0.13%	0.51%	1.26%
CAGR 4 year	0.09%	0.38%	0.95%

Source: Bernstein analysis and estimates

EXHIBIT 17: **UMG 5 year growth algo : Streaming (Recorded + Publishing) to contribute two thirds of total topline growth**

	% revs	Low	High	Midpoint	
Recorded Music	**76%**	**4.5%**	**8.5%**	**6.5%**	**weighted by segment**
Subscription & streaming	51%	6.8%	9.7%		weighted by segment
o/w Subscriptions	*39%*	*7.7%*	*10.7%*		volume + price (secured by super fand tailwinds?)
o/w Streaming	*11%*	*4.0%*	*6.0%*		cyclicality buffered by minimum guarantees
Other digital	*2%*	-20.0%	-10.0%		secular decline
Physical	*12%*	-3.0%	3.0%		UMG outperformance. Megastars overindexing helps
License & other	*11%*	6.0%	12.0%		steady growth
Publishing	**18%**	**6.3%**	**9.4%**	**7.8%**	
Digital	*11%*	7.7%	10.7%		aligned subscriptions
Performance	*4%*	*8.0%*	*10.0%*		live tailwinds
Synchronization	*2%*	*4.0%*	*6.0%*		partly cyclical
Mechanical & others	*1%*	*-3.0%*	*3.0%*		aligned physical
Merchandising & Other	**6%**	**5.0%**	**10.0%**	**7.5%**	
TOTAL	**100%**	**4.9%**	**8.7%**	**6.8%**	

Source: Bernstein analysis and estimates

EXHIBIT 18: **UMG 5 year growth algo: From topline to EPS**

	Low	High	Central	
Revenues	4.9%	8.7%	6.8%	5 year mix weighted growth
drop through	25%	25%	25%	median since 2021 listing excl one offs, SBC savings, reorganization
EBITA	5.9%	10.6%	8.3%	from 2025 margin starting point
Savings Plan	0.7%	0.7%	0.7%	Phase 2 2026-27
Capital alloc.	1.0%	6.0%	1.0%	FCF 2026-30e post div pre buybacks €4.6bn Low mere reinvestment 3% High, Spotify and TME monetized, leverage to 2.5x EBITDA + buybacks
Adjusted Net Income	**7.6%**	**17.4%**	**10.0%**	assumes stable tax rate
Share-based comp dilution	-0.3%	-0.3%	-0.3%	net share issuance after tax settlements on behalf of employees
EPS	**7.3%**	**17.1%**	**9.7%**	assumes stable tax rate

Source: Bernstein analysis and estimates

SONY:

For Sony, the Spotify Day read-through is best understood as a two-sided outcome: incremental monetization vs structural disintermediation risk. On the positive side, the emergence of licensed AI-anchored by the UMG template-creates a new, additive revenue pool tied to fan creation rather than consumption, with superfan add-ons capable of scaling meaningfully without requiring incremental listening hours. This directly benefits Sony Music's large, high-quality catalog, which becomes both the input and the monetized asset in the generative ecosystem, consistent with the broader conclusion that catalog-heavy majors are net winners from licensed AI adoption. Moreover, these revenue streams are structurally attractive: add-on economics sit on top of existing streaming payouts, with potentially comparable or better monetization per engagement and higher durability given lower churn among paying superfans.

However, the structural shift in Spotify's model tempers the upside. As the platform moves from distribution to the "platform layer" of the generative era, it is increasingly capturing discovery, user interaction, and monetization layers (marketplace, podcasts, audiobooks, AI content) that sit outside music royalties, leading to a declining share of platform economics flowing back to rightsholders despite rising absolute payouts. For Sony-unlike pure-play labels-this dynamic interacts with its diversified structure: while Music benefits from AI-driven monetization, adjacent Sony segments (e.g., gaming, anime) may be better positioned to capture engagement in the broader entertainment ecosystem where Spotify is expanding. Ultimately, the key implication is that Sony remains a net beneficiary of AI monetization given its catalog strength, but the balance of power continues to shift toward platforms, making long-term value capture increasingly dependent on owning fan relationships and ecosystem touchpoints rather than content alone.

Where "Love" becomes revenue: Hybe's "Superfan" monetization playbook

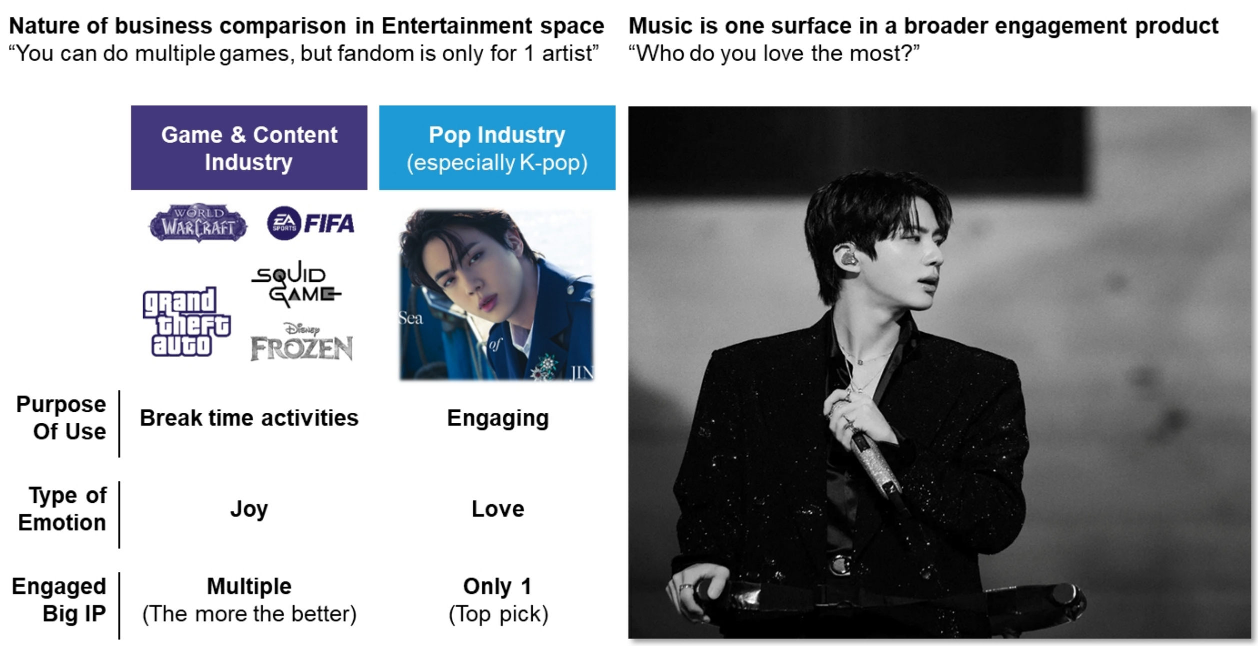
Hybe's monetization model is built to fully capture the economics of superfandom, where "love" is the core driver rather than utility or passive consumption. Unlike other content verticals - where engagement decays quickly and monetization is tied to hit cycles - K-pop sustains intensity over a multi-year idol lifecycle, from pre-debut discovery to peak group activity and into long-tail individual careers. Hybe structures this lifecycle deliberately, seeding attachment early, scaling it through constant narrative building, and extending it via continuous content and interaction.

Weverse is the central hub of this system: a closed-loop platform where Hybe owns both the IP and the fan rails, enabling monetization across multiple layers - album variants, merchandise, memberships, live streams, digital collectibles, and exclusive content drops. Fans are not just listeners but participants, spending time, money, and emotional energy in a high-frequency engagement loop. Every comeback, behind-the-scenes clip, livestream, or comment becomes a monetizable touchpoint, compounding ARPU over time.

Crucially, the strength of "love" in K-pop creates a far more resilient and elastic demand curve than in other genres. Spending is not purely price-sensitive because it is tied to identity and belonging. This allows Hybe to introduce new SKUs, tiers, and experiences without fragmenting demand, and to monetize moments that would otherwise be non-economic in traditional music models.

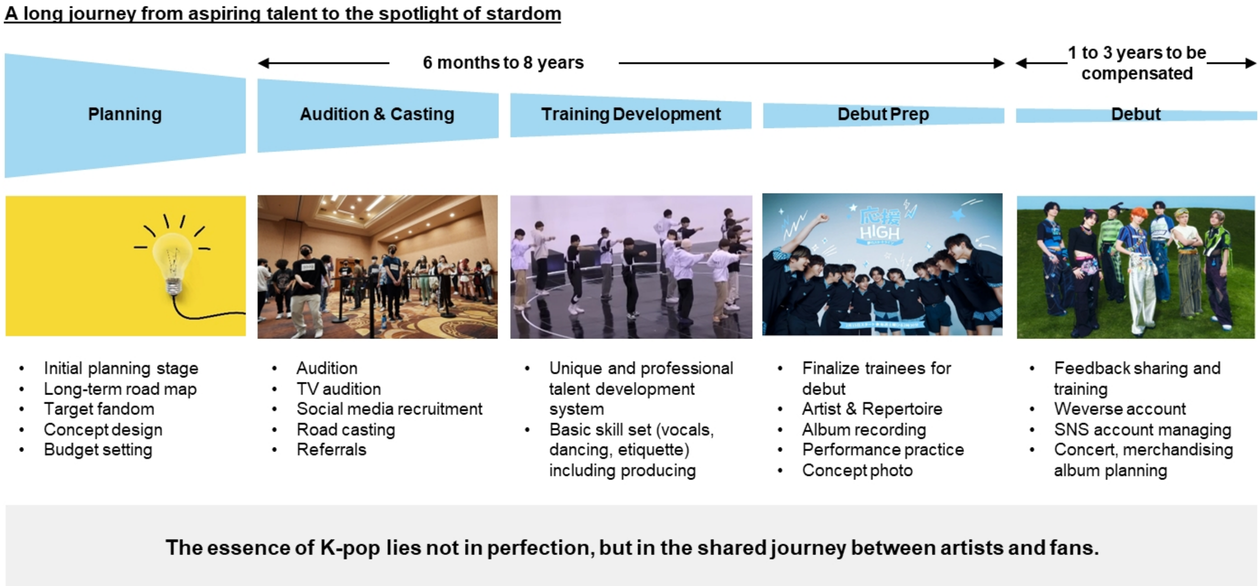
Within this framework, AI serves to scale what Hybe already does best: increasing interaction density across the idol lifecycle. It can localize communication in real time, personalize content at the fan level, and extend the number of daily touchpoints between artist and fan without diluting authenticity. In effect, Hybe captures nearly every moment of the fandom journey - from anticipation to interaction to ownership - and continuously converts emotional engagement into revenue.

EXHIBIT 19: **Hybe's monetization model is built to fully capture the economics of superfandom, where "love" is the core driver rather than utility or passive consumption.**



Source: Instagram, Bernstein analysis.

EXHIBIT 20: **K-pop sustains high-intensity engagement across a multi-year idol lifecycle, from pre-debut discovery to peak group activity and long-tail solo phases, unlike other verticals where engagement fades quickly and monetization depends on hit cycles.**



Source: Corporate reports (Hybe), Microsoft image, Financial News, Expert interview, Bernstein analysis.

Spotify's K-pop push is a superfan strategy, not a genre bet

Spotify's investment in K-pop is fundamentally driven by superfan economics. K-pop is no longer a local genre but a global consumption layer, with fandom present across all 184 markets where Spotify operates and releases like BTS commanding tens of millions of simultaneous listeners. That scale matters, but the deeper signal is engagement intensity - K-pop behaves less like lean-back streaming and more like a high-frequency fan economy, where discovery, identity, and repeat interaction drive usage.

From the investor day, we think Spotify increasingly views Korea as a top-tier strategic market because it sits at the intersection of global demand formation and a proven fandom model. What companies like Hybe have built - structured artist development, narrative continuity, and global fan orchestration - has effectively exported a playbook that converts casual listeners into high-value superfans. This is now feeding back into Spotify's own product roadmap, from concert ticketing (Spotify Reserve) to AI-driven personalization and localization, including Korean-language AI DJ and prompt-based discovery tools.

The common thread is monetizing engagement depth, not just scale. As AI accelerates localization and lowers the cost of personalized interaction, Spotify is positioning to capture more of the superfan wallet - moving beyond subscription ARPU into layered monetization tied to experiences, access, and fandom participation. In that sense, K-pop is not just content supply for Spotify; it is the blueprint for where the platform's economic model is heading.

Key Disclosures for label's from Spotify's Investor Day

- The headline disclosure for the label complex was the **commercial AI licensing agreement between Spotify and Universal Music Group.** The deal covers both recorded music (UMG labels) and music publishing (UMPG), structured around a "consent, credit, compensation" framework that allows Premium subscribers to create AI-generated covers and remixes of participating UMG songs. Creation will sit behind a paid Premium add-on; consumption of the AI-generated content will be free for all users. Lucian Grainge described the partnership as a "pioneering AI-enabled superfan initiative," and Spotify management confirmed in Q&A that the deal will be at least gross-margin accretive for Spotify. Pricing, launch date, and the participating artist list were not disclosed.

- **Spotify's Marketplace disclosed gross profit at €650M in 2025.** This figure is roughly 4x the 2021 level and implies a compound annual growth rate of approximately 40% over the four-year period. Marketplace gross profit represents the contribution from artist-paid promotional tools such as Discovery Mode and Marquee, where labels and independent artists pay Spotify (typically through reduced royalty rates on streams generated by the promotional placement) in exchange for algorithmic surfacing. This is real money flowing from the label and artist ecosystem to Spotify, and the absolute scale of the line is now meaningful relative to total label royalty payouts.

- Spotify also reiterated that it paid more than $11B to the music industry in 2025, representing growth of more than 10% Y/Y, with cumulative payouts now exceeding $70B over the life of the company. **The Y/Y growth in industry payouts reflects pricing power flowing through to labels via the standard revenue share structure (Premium ARPU grew 8% Y/Y currency-neutral in Q1'26 following the 2025 US price increase) combined with continued Premium subscriber growth.** These are the per-stream economics working as expected; the label royalty engine continues to scale with Spotify's subscription business.

- Spotify guided to mid-teens revenue CAGR off a €17.2B base in 2025, with gross margin expanding to 35-40% by 2030 (versus 32% in 2025) and operating margin reaching above 20% (versus 12.8%). In absolute dollar terms, this implies Spotify total revenue roughly doubling by 2030, with corresponding growth in label payouts as music revenue scales. **The composition of that growth, however, is increasingly weighted toward verticals that carry no label royalty exposure.** Audiobooks+ has already surpassed 1M paying subscribers with a $100M ARR run-rate by July 2026, and the Plus Plus and Plus Plus Plus tier expansion ships this summer. Podcast Memberships and Personal Podcasts launch through 2026 with revenue contribution building through 2027 and 2028. None of these revenue streams flow through music label royalties, which means labels are collecting a larger absolute dollar payout from a structurally smaller share of Spotify's total revenue mix.

Taken together, **these disclosures represent a meaningful evolution from the typical Spotify-label negotiation cycle of the past five years.** Two things make this Investor Day structurally different.

- **AI music monetization has shifted from a legal threat into a labeled revenue line.** For roughly two years, the dominant narrative around generative AI music has been about Suno and Udio, the unlicensed training of those models on label catalogs, the RIAA litigation against them, and the existential risk that unlicensed AI generation poses to recorded music economics. The UMG-Spotify deal inverts that framing. The licensed pathway is now being commercialized at the scale of the largest music subscription platform in the world. Whether or not the unlicensed players ultimately settle with the labels, the labels now have a defined commercial revenue path from AI music that did not exist twelve months ago.

- **The IDay disclosures make clear that audiobooks, podcast Memberships, Personal Podcasts, and future generative audio products are the structural growth engines of Spotify revenue through 2030.** When Spotify added audiobooks to Premium in late 2023, the working assumption among label investors was that the bundle was a one-off mix-shift to be absorbed and then normalized. The mix-shift is not a one-time event but rather the operating model, which means the label share of Spotify total revenue is now on a structural downward trajectory that compounds over the next five years.

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

Spotify Technology SA

We reach our price target of $625/sh via a two-stage discounted free cash flow model which includes detailed quarterly financial forecasts over three years, annual forecasts of key line items over the following five years, and a terminal perpetuity. We assume a weighted average cost of capital of 11% and a terminal free cash flow growth rate of 3.0%.

Warner Music Group Corp

We reach our target price of $39/sh via a two-stage discounted free cash flow model which includes detailed quarterly financial forecasts over three years, annual forecasts of key line items over the following five years, and a terminal perpetuity. We assume a weighted average cost of capital of 8.5% and a terminal free cash flow growth rate of 3.0%.

Universal Music Group

Our €29 PT is based on a DCF valuation (wacc 7.8%, LT growth 3.3%), including the value of minorities stakes in Spotify and Tencent Music.

Sony Group Corp

We have a ¥3,500 price target for Sony, based on a 17x P/E multiple of Q5-8 EPS, estimated at ¥208. We value the Sony ADR by converting the JPY price to USD based on an exchange rate of 159.21.

Hybe Co Ltd

We have valued Hybe at a price target of KRW 400,000 based on a DCF valuation method, implying one year forward PER of 43x (Q2 2027-Q1 2028). (DCF assumptions: WACC=10.1%, Terminal growth rate: 3%; Risk-Free Rate of Return (Rf) = 3.4%, Market Risk Premium (Rm - Rf) = 15.3%, Beta = 0.5).

RISKS

Spotify Technology SA

Key risks to the downside include subscriber churn on price increases, delays to superfan tier launch, slowing video adoption by creators, geopolitical risks, and currency fluctuations.

Warner Music Group Corp

Key risks to the downside include share loss within recorded music or publishing, decelerating digital growth, hurdles to monetizing AI-generated music, and shifts in intellectual property protections.

Universal Music Group

Downside risks: Music streaming platforms holding prices flat for an extended period, volatility of hard to predict Physical sales, potential cyclicality of ad revenues (12% of group total)

Sony Group Corp

Upside risks to our Sony target price: (1) A smaller-than-expected memory price hike; (2) A smaller-than-expected share loss to Samsung in Apple CIS orders; (3) Stronger-than-expected game software sales. Downside risks: (1) Fewer mobile/auto CIS sales or larger share loss in CIS market; (2) Slowdown of music streaming market growth or less profit sharing from streaming; (3) Management risk and competition in anime streaming or insufficient successful anime works in the future.

Hybe Co Ltd

Downside risk: Lower-than-expected revenue from the BTS return; margin contraction due to higher take rates on key IPs; greater-than-expected investments in overseas subsidiaries

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

<u>Bernstein brand</u>

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

<u>Autonomous brand – common stocks</u>

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

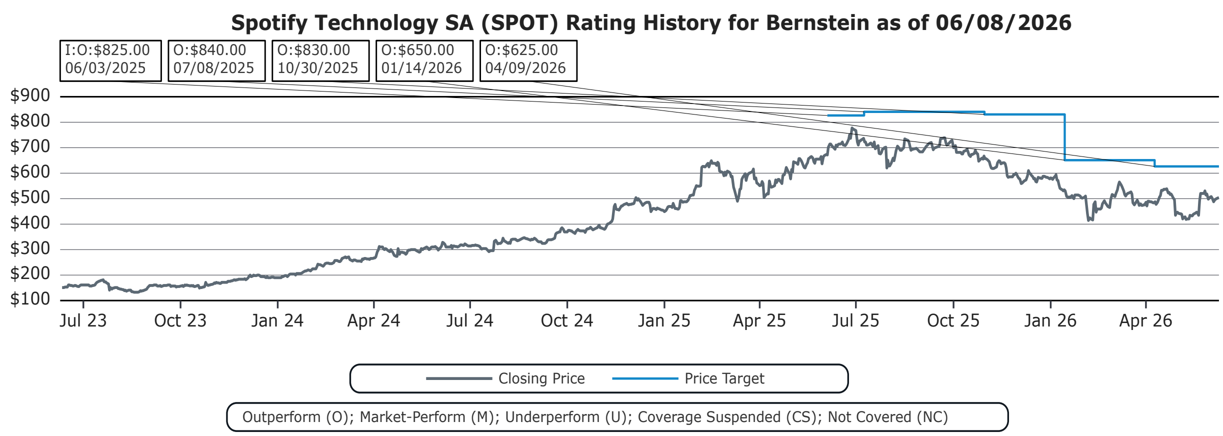
It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

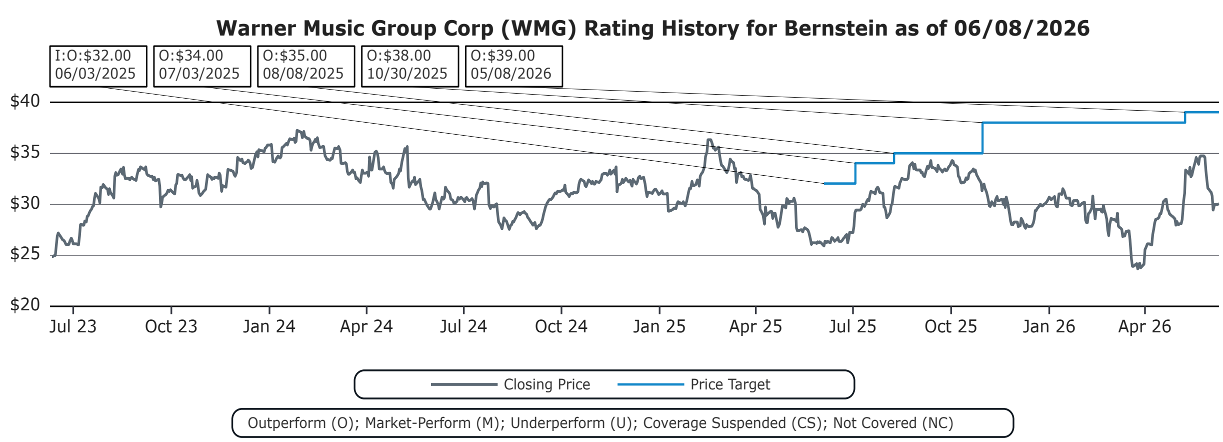
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

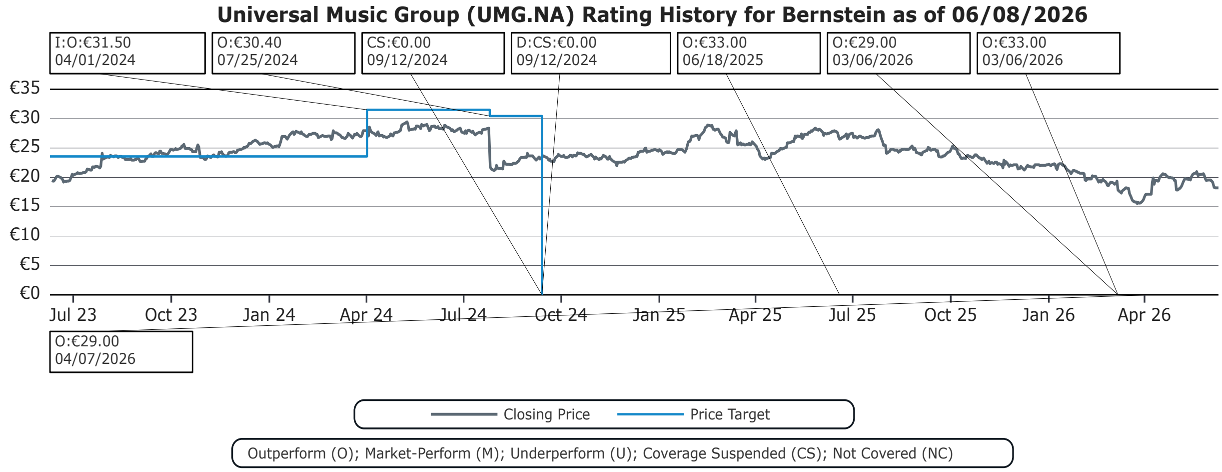
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.1%	16.5%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	36.3%	17.8%
Underperform	SELL	12.6%	14.9%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of March 31, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY






Universal Music Group (UMG.NA) Rating History for Bernstein as of 06/08/2026
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O:€30.40 07/25/2024
CS:€0.00 09/12/2024
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O:€33.00 06/18/2025
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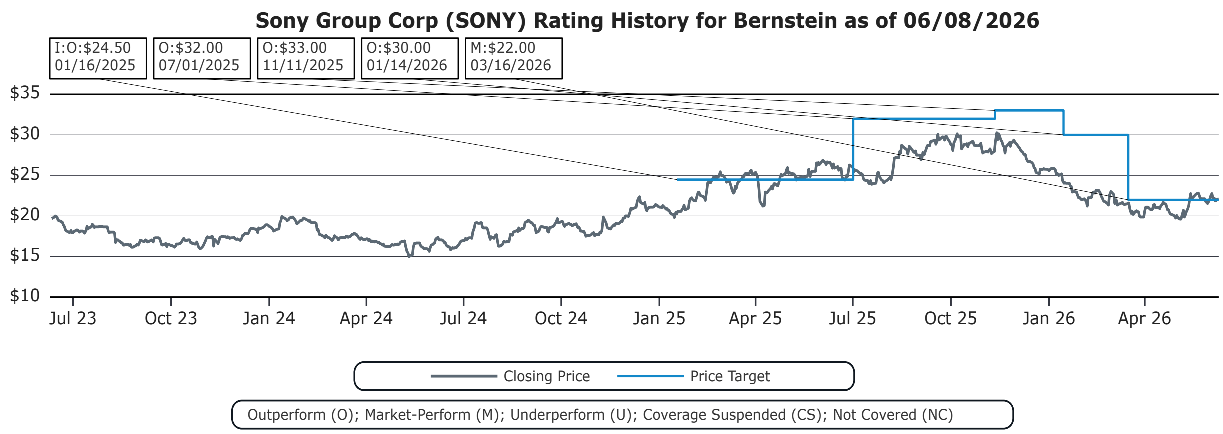
€15
€10
€5
€0
Jul 23
Oct 23
Jan 24
Apr 24
Jul 24
Oct 24
Jan 25
Apr 25
Jul 25
Oct 25
Jan 26
Apr 26
Closing Price
Price Target
Outperform (O); Market-Perform (M); Underperform (U); Coverage Suspended (CS); Not Covered (NC)


Sony Group Corp (SONY) Rating History for Bernstein as of 06/08/2026
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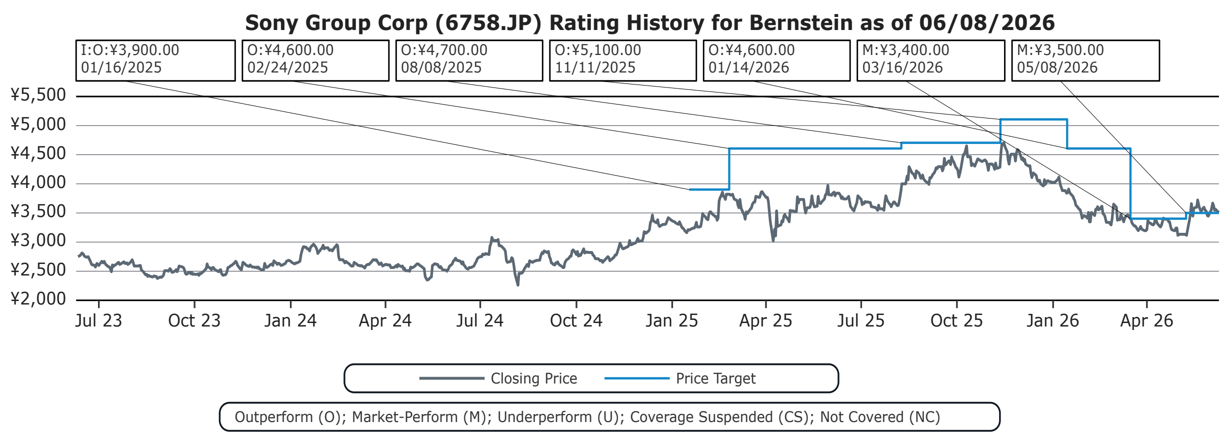
M:$22.00 03/16/2026
$35
$30
$25
$20
$15
$10
Jul 23
Oct 23
Jan 24
Apr 24
Jul 24
Oct 24
Jan 25
Apr 25
Jul 25
Oct 25
Jan 26
Apr 26
Closing Price
Price Target
Outperform (O); Market-Perform (M); Underperform (U); Coverage Suspended (CS); Not Covered (NC)


Sony Group Corp (6758.JP) Rating History for Bernstein as of 06/08/2026
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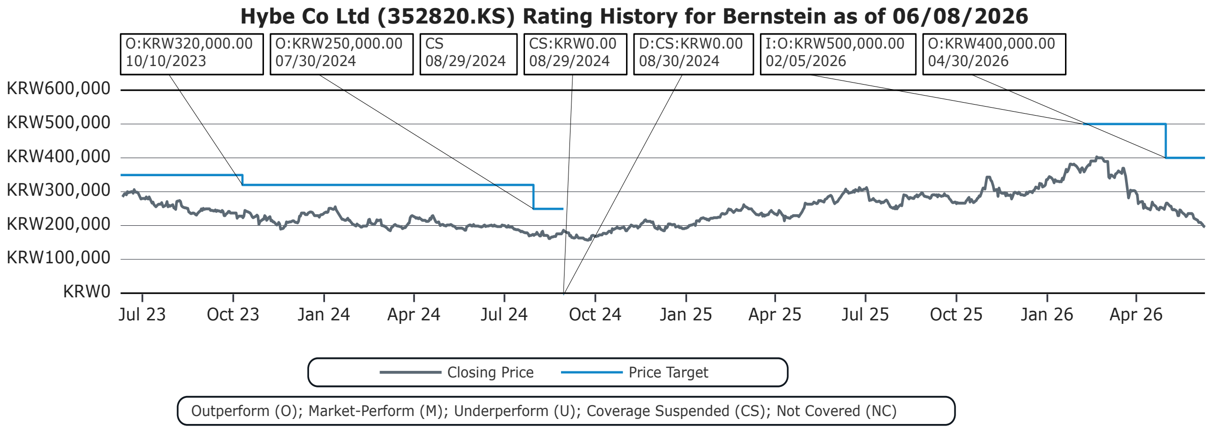
¥2,500
¥2,000
Jul 23
Oct 23
Jan 24
Apr 24
Jul 24
Oct 24
Jan 25
Apr 25
Jul 25
Oct 25
Jan 26
Apr 26
Closing Price
Price Target
Outperform (O); Market-Perform (M); Underperform (U); Coverage Suspended (CS); Not Covered (NC)



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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SG is acting as Active Joint Bookrunner in UNIVERSAL MUSIC GROUP's bond issue (dual-tranche EUR 500m WNG - 4Y & 10Y).
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